Micron Technology, Inc.

MU NASDAQ

Buy	$1019.45 ▲ 0.28%	12M Price Target **$1200.00**	52-Week Range $131.56 – $1255.00	Market Cap $1.15T

MU: HBM Demand Explodes, CHIPS Act Money Still Flowing

WHAT HAPPENED

- Stock is up ~9% in the last week ($933 → $1,019) and the tape is telling you why: SK Hynix jumped 7% overnight on reports that AI demand is literally cannibalizing memory supply meant for phones. That's a HUGE deal for MU — it means memory chip prices are going UP, not down, which is unusual because memory has historically been a boom/bust commodity business.
- Options flow is screaming bullish — someone dropped ~$55M on near-dated $1020 and $1025 calls (bets the stock goes higher), and the unusual volume is 11-15x normal open interest. That's not retail money, that's institutions positioning ahead of the Sept earnings print.

WHY IT MATTERS

Here's the real story: AI servers need High-Bandwidth Memory (HBM) — a premium, expensive type of chip — and there are only three companies on Earth that make it (Micron, SK Hynix, Samsung). Because HBM eats up so much manufacturing capacity, there's now a shortage of REGULAR memory for phones and PCs, which means MU gets pricing power on BOTH ends of its business. This probably means the next earnings report (Sept 23) prints a big beat on both revenue AND margins, and management likely guides higher. The thing to watch: whether this becomes a multi-year cycle (bull case, stock goes to $1,500+) or a one-year sugar high before Samsung floods the market with supply in 2027.

POLICY & POLITICAL WATCH

Micron is the single biggest beneficiary of the CHIPS Act — they got a $6.1B direct grant plus billions more in loans to build fabs in Idaho and New York. The Trump administration has been renegotiating some CHIPS awards but Micron's has held firm because it's the ONLY US-headquartered memory maker (national security angle). Watch for two things: (1) any new export controls on advanced memory to China — MU does ~10% of revenue there, so restrictions hurt near-term but help long-term pricing, and (2) the ongoing tariff regime on Chinese electronics, which indirectly pressures Chinese memory competitor CXMT and protects Micron's market share.

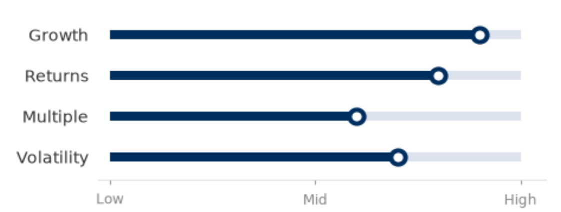
IS IT EXPENSIVE?

At $1,019, MU trades around 72x trailing earnings but only ~14-15x forward earnings — meaning investors are paying $14 for every $1 the company is expected to earn next year, which is actually CHEAP for a company growing revenue 40%+. The market is finally waking up to the fact that memory isn't a pure commodity anymore — HBM is more like a specialty semi with 60%+ gross margins. Justified if the AI cycle lasts; expensive if we get a 2023-style memory glut.

Key Data

Price (USD)	**$1019.45**
12M Price Target	**$1200.00**
Upside / (Downside)	**+17.7%**
Market Cap	**$1.15T**
FY2026E Revenue	**$45,500M**
FY2027E Revenue	**$58,200M**
FY2026E EPS	**$14.20**
FY2027E EPS	**$19.80**
Fwd P/E	**71.8x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

MU — Micron Technology, Inc. | September 08, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$1150.00**	$1060.00	**$950.00**
6 Months	**$1350.00**	$1200.00	**$900.00**
1 Year	**$1500.00**	$1250.00	**$850.00**
2 Years	**$1800.00**	$1400.00	**$750.00**
5 Years	**$2500.00**	$1800.00	**$600.00**
10 Years	**$4000.00**	$2500.00	**$500.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Utilities (+3% in 5 days) and Energy — this is the "AI needs power" trade playing out. Data centers are straining the grid and Congress has been pushing permitting reform to accelerate power buildout. Tech is grinding higher on the same AI theme.

COOLING OFF: Consumer Discretionary (-1.9% in 5 days) — signals consumer weakness, which historically would hurt memory (fewer phones/PCs), but the AI datacenter demand is overwhelming that headwind.

ROTATION WATCH: Money is flowing into the "picks and shovels" of AI — memory, power, cooling, networking. That's a direct tailwind for MU because they sell the literal picks.

RELATED PLAY: If MU keeps running, look at Amkor (AMKR — down 10% and mentioned as a "buying opportunity" in the news feed) which packages HBM chips, and Applied Materials (AMAT) which sells the equipment to make them.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI king — every HBM chip Micron sells basically goes into an Nvidia GPU, so they move together.
- AVGO (Broadcom): Custom AI chips for hyperscalers, benefiting from the same capex wave.

MU CONTEXT: MU is leading its memory peer group in the US and roughly tracking SK Hynix, which is the tell — when Hynix moves, MU should follow. The fact that Hynix popped 7% overnight and MU is only up 0.28% suggests MU has some catch-up room into earnings.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — I'm bullish because the setup is rare: strong fundamentals + policy support + institutional call buying + upcoming catalyst (earnings Sept 23). Not a 10 because memory can turn on a dime.

POSITION SIZE: 3-5% of portfolio — big enough to matter, small enough that a bad earnings print doesn't ruin your year.

ENTRY POINTS: I'd trim/wait here at $1,019 (near-term extended) and add aggressively on any pullback to $950-970. If it drops to $900 on macro fear, back up the truck.

TIME HORIZON: 12-24 months — the immediate catalyst is Sept 23 earnings, but the real thesis is the 2026-2027 HBM cycle playing out.

WHEN TO BAIL: If hyperscaler capex guidance gets cut, if HBM pricing shows any weakness, or if the stock breaks below $850 on volume — that would signal the cycle is turning.

HEDGING: Buy some out-of-the-money puts around $900 as earnings insurance — cheap protection if the report disappoints. Or pair-trade by shorting a weaker memory-adjacent name.

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